

Taiyo Yuden (6976)

Small IR meeting: Discusses business opportunities for AI server applications

We attended a small meeting for sell-side analysts with CEO Katsuya Sase at 15:00 JST on May 21. Discussions focused on the company's competitiveness and market share in MLCCs and inductors for AI servers, as well as future business opportunities. Some stock market participants argue that Taiyo Yuden will not benefit from demand growth for AI server applications to the same extent as others, but the company counters this, saying it is fully prepared in terms of its products. The company also noted that it expects multilayer MCOIL sales to rise from 2H FY2027 through FY2028. While not as large as the biggest manufacturers, we believe that Taiyo Yuden also stands to benefit fully from AI server demand growth, and maintain our bullish position on a medium-term view.

Business opportunities for MLCCs used in AI servers

- (1) Server applications accounted for around 9% of sales in FY2025 (about 7% on an all-company basis, but mostly MLCCs). The company only counts logic boards, and does not include peripheral switches for servers or memory applications. Its market share appears low at first glance because of differences in definitions with other companies in the industry, but management estimates its share at just over 20% or so for AI servers. In FY2025 about 50% of server application sales were for AI servers, and sales rose 30% YoY, while the company envisions growth of around 80% YoY in FY2026 and roughly the same again in FY2027. The proportion of sales for AI server applications will increase in FY2026, according to the company. Under its medium-term plan Taiyo Yuden estimates AI application sales CAGR of +32% (up around 4x) over the next five years but forecasts growth of around 3.2x over the coming two years, apparently taking a cautious view thereafter since it cannot accurately assess the outlook. Furthermore, FY2026 and FY2027 sales growth prospects had not reached 80% YoY when it compiled the medium-term plan, and this is apparently also a factor.
- (2) In MLCCs for AI servers Taiyo Yuden expects the shift to more compact, higher capacitance products to accelerate rapidly from 2H FY2026 through FY2027 and FY2028, mainly ASIC. The 2012 Size and 1608 Size have been used for 47uF products, but Taiyo Yuden expects substantial demand growth for the 1005 Size going forward, as well as a step-change to more compact, higher capacitance for 100uF products, moving from the existing 2012 Size to 1608. No mention was made about the margin impact of shifting to compact, high-capacitance products, but we think improving productivity and price normalization associated with generational transitions will boost marginal profitability. For the 1005 Size 47uF generation, about 750 layers of 0.7μm-thick green sheet (barium titanate with an 80nm particle size) are stacked, but the company commented that manufacturers have all effectively black-boxed production equipment and material development for these, and supply is limited to only three companies at this point.

Overweight

6976.T, 6976.JP

Price (21 May 26): ¥8,145

Price Target (Dec-26): ¥9,500

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- (3) The company noted there are three types of AI server applications, one of which consists of the high voltage products used in input systems, employing products similar to automotive MLCCs, while in output systems, the aforementioned compact, high-capacitance components are used, and these account for the majority of MLCCs used in AI servers. Taiyo Yuden also expects demand growth for MLCCs for integrated substrates, such as for IVRs (integrated voltage regulators). Taiyo Yuden says that its integrated substrate-use MLCCs are also highly competitive for smartphone motherboard applications, and that it is therefore keen to leverage these. In particular, in output balancing (decoupling) applications Taiyo Yuden expects MLCC capacitance requirements to increase as accelerators move toward constant-voltage, high-current designs and as thermal design power (TDP) rises, leading to substantial demand growth for compact, high-capacitance products.
- Going forward MLCCs will increasingly be integrated into vertical power distribution (VPD) and integrated VR (IVR) units, and positioning MLCCs in close proximity is expected to reduce parasitic inductance. However, more than 50% of the power will still be delivered to accelerators via a horizontal power supply, according to the company. Our view is that even if VPD and IVR lead to a decline in MLCC capacitance, MLCC demand for use in AI servers will continue to grow sharply on rising accelerator TDP, enhanced temperature resistance performance (shift from X6C/X6R to X7R/X7C, X8R/X8L, among others), and DC bias, while we think some MLCCs with silicon capacitors and C0G characteristics will also be adopted.
- (4) Turning to prices, the company said that capacity utilization is around 95% in FY2026, giving slight leeway, and that the company is therefore not considering price hikes caused by a supply/demand squeeze. On the other hand, if it reaches full capacity (100% operation) into FY2027, it might not be able to fulfill its supply obligations, and would reconsider at that point. Meanwhile, like-for-like price declines may be only gradual in FY2026, as well, because of the supply/demand squeeze, according to the company. In addition, Taiyo Yuden plans to pass sharply higher silver and copper prices through into inductor prices, but has apparently factored the impact of price hikes only cautiously into guidance. For MLCCs, too, soaring silver prices are affecting conductive electrode products and others, and management intends to pass the impact through.

Business opportunities for inductors used in AI servers

- For power inductors used in AI servers, large ferrite-based wound-wire types were initially used but these have now shifted to large metal composite wound-wire types in view of issues such as magnetic saturation under high current and the need to withstand high temperatures. The company expects further transition to compact metal composite types from 2H FY2027 through FY2028, at which point demand will increase for the multilayer metal composite power inductors (MCOIL) that only Taiyo Yuden can produce, according to the company.
- The company noted its strengths in metallic material interface control, high-filling technology, and oxide film formation technology, and that it has many IPs. It also commented that its compact products are effective for applications such as integration into interposers and substrates for IVR.

Investment Thesis, Valuation and Risks

Taiyo Yuden (6976) (*Overweight; Price Target: ¥9,500*)

Investment Thesis

We expect growth in demand for MLCCs for AI servers, which has grown rapidly, to lead to supply-demand tightening for MLCCs as a whole from FY2026 onward. As a result, we expect the pace of MLCC price declines to slow from 2H FY2026 onward and prices to stabilize heading into FY2027, accelerating earnings momentum.

Valuation

We base our December 2026 price target of ¥9,500 on our FY2028 EPS estimate of ¥541 (fully diluted) and a P/E of 17.6x, derived from the Bloomberg consensus-based sector average P/E of 15.9x as of April 21, and the stock's sector relative P/E of 1.1x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Price hikes for MLCCs
- Inventory adjustment for automotive MLCCs ending early

Downside Scenario to Target Price/Rating

- Delay in MLCC supply-demand tightening
- Greater impact of a downturn in final demand due to memory shortage
- The AI cycle peaking out early

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Taiyo Yuden (6976) (6976.T, 6976 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
24-May-23	OW	4095	5,600
16-Aug-23	OW	4007	6,000
24-Jan-24	OW	3742	4,500
01-Apr-24	OW	3625	4,300
22-Jul-25	N	2628	2,500
14-Oct-25	N	3474	3,600
04-Dec-25	N	3699	3,700
03-Apr-26	OW	3861	5,700
23-Apr-26	OW	6264	9,500

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

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Completed 22 May 2026 01:16 PM JST

Disseminated 22 May 2026 01:18 PM JST